



# Document 12: Unified Precedence Rules (Master Rulebook)

*A single, ordered "what overrides what" rulebook — hard blocks, soft gates, invalidations, and wait triggers — written to be audit-friendly and automation-ready.*

## 0) Purpose & Output of This Rulebook

This document defines:

-  **Evaluation order** (precedence)
-  **Hard blocks** (trade is rejected immediately)
-  **Soft gates / Wait rules** (trade is not rejected, but entry is deferred until conditions are met)
-  **Invalidation rules** (even if everything else is good, setup becomes invalid)
-  **Conflict resolution** (when two modules disagree, who wins)
-  **Logging schema** (how to record the reason clearly)

# 1) Absolute Precedence (Top → Bottom)

## P0 — Data Integrity

If data is wrong, everything else is wrong.

## P1 — Tier 1 Gates (Market → Sector → Stock → Event)

If any gate blocks → **no trade**, even if Tier 2 scores high.

## P2 — Tier 2 Core (S2–S6)

This builds the **core conviction** using SMC structure + participation.

## P3 — Tier 3 Enhancements (S7 + MTAL/RSI/ROC/Peers)

Adds/subtracts confidence; **cannot override** hard blocks.

## P4 — Tier 4 Coherence

Validates alignment; determines **Execute / Wait / Block**.

## P5 — Tier 5 Strategy Selector

Selects **Cash/Options** and options structure using **conviction** + **IVP** (no SL/targets sizing hardcoded).

## 2) Hard Blocks (Immediate "NO TRADE")

These are **non-negotiable**. The moment any one triggers, stop further evaluation.

### HB-1: Tier 1 Gate = BLOCK

Examples:

- Market in opposing HTF zone
- Sector structurally broken against direction
- Stock illiquid/untradable
- Event risk window (earnings/RBI) triggers block

Action: **×** BLOCK

Log: Tier1\_Block: {GateName} - {Reason}

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### HB-2: S5 (Structure) = 0

Approved rule: S5=0 is a hard block

Action: **×** BLOCK

Log: S5\_Block: Structure not confirmed (Score=0)

### HB-3: S3 total < 0 (Negative FVG)

Approved rule: **Negative S3 invalidates setup**

Action: **✗ BLOCK**

Log: S3\_Invalidation: Negative FVG quality (Score<0)

### HB-4: Tier 4 = INCOHERENT

If coherence engine says conflicts are too strong.

Action: **✗ BLOCK**

Log: Tier4\_Block: Incoherent - {PillarsFailed}

### 3) Soft Gates / Wait Conditions (Not a Block, but "Not Yet")

Soft gates mean the setup is potentially valid, but the framework asks you to wait for completion.

#### SG-1: S4 Unswept Liquidity (Semi-gate)

Approved rule: If liquidity pool exists and is not swept, prefer waiting.

Action: ⚠ WAIT

Upgrade condition:

- liquidity sweep + reclaim occurs, OR
- structure confirms a clean continuation without needing sweep (rare case)

Log:

S4\_Wait: Liquidity visible but unswept. Wait for sweep/reclaim.

## SG-2: S5 weak (Score 1-3)

Approved rule: S5 1-3 requires **strong S2 + strong S4**.

**Action:** ⚠️ WAIT or Conditional Execute (only if S2 and S4 are strong)

**Upgrade condition:**

- S5 improves (clear BOS/CHoCH), OR
- Strong confluence: S2 ≥ strong band AND S4 ≥ strong band AND S6 supportive

**Log:**

S5\_SoftGate: Weak structure (1-3). Needs strong S2+S4.

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## SG-3: Tier 1 = WAIT (Market/Sector/Event)

If Market or Sector says environment is not ready, you do not force entries.

**Action:** ⚠️ WAIT

**Upgrade condition:** specified by the gate (e.g., index sweep, sector BOS, event passes)

**Log:**

Tier1\_Wait: {GateName} - {ConditionToPass}

## 4) Module "Authority Ranking" (Who wins in conflicts)

When two components disagree, use this authority order:

### A-Order (Highest to Lowest Authority)

1. Tier 1 Gates (market/sector/event)
2. S5 Structure (core validation)
3. S4 Liquidity completion (sweep logic)
4. S2 HTF zones (context anchor)
5. S6 Participation (confirms "real money")
6. Tier 3 Enhancements (MTAL/Peers/ROC/RSI/S7)
7. S3 FVG (precision only, not core)

Interpretation: A perfect FVG (S3) cannot override weak structure (S5).

A strong stock signal cannot override a blocked market regime gate.



## 5) Core Evaluation Sequence (Exact Order)

Use this as the engine pipeline. You can treat it as your “decision algorithm”.

### Step 1 — P0: Data Integrity

- If critical missing/corrupt → **BLOCK**
- If non-critical missing → continue with reduced confidence

### Step 2 — P1: Tier 1 Gates

Evaluate in order:

1. Market regime/structure gate
2. Sector regime gate
3. Stock eligibility (liquidity/universe)
4. Event calendar gate

Outcomes:

- **BLOCK** → stop
- **WAIT** → stop (only send conditional alert)
- **PASS** → proceed



## Step 3 — P2: Tier 2 Core Scoring

Evaluate:

- S2 (OB zone)
- S4 (liquidity/sweep)
- S5 (structure)
- S3 (FVG refinement)
- S6 (volume/delivery/institutional fingerprint)

Apply hard blocks during this stage:

- $S5=0 \rightarrow \text{block}$
- $S3<0 \rightarrow \text{block}$

## Step 4 — P3: Tier 3 Enhancements

Compute:

- MTAL
- Peers
- ROC
- RSI divergence (only in OB context)
- S7 (FII context)

Enhancements affect conviction but cannot revive a blocked setup.

## **Step 5 — P4: Tier 4 Coherence**

Output:

- COHERENT → execute permitted
- PARTIAL → wait / conditional
- INCOHERENT → block

## **Step 6 — P5: Tier 5 Strategy Selector**

Based on:

- Direction
- Conviction band
- IVP
- Coherence state

Output:

- Vehicle: Cash vs Options
- Strategy: debit/credit spreads etc.
- "Wait" conditions if not executing

## 6) Invalidation Rules (Setup becomes invalid even mid-way)

These are "kill switches" that can trigger after a setup looked good.

### INV-1: Failed BOS (Exit Signal Rule)

Approved rule: **Failed BOS = exit / invalidate continuation**

Trigger: price re-enters structure aggressively and breaks the BOS premise

Action: exit (if in trade) / do not re-enter until new structure forms

Log: S5\_Invalidation: BOS failed - exit / reset structure

## **INV-2: S6 Negative / Trap Signature**

When participation suggests distribution/churn.

**Typical triggers:**

- volume spike + delivery weak
- climax after extended move (contextual)
- trades surge + ATS drops (retail frenzy)

**Action:** downgrade to WAIT or BLOCK depending on severity

**Log:** S6\_TrapRisk: Participation inconsistent - {Signature}

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## **INV-3: Event risk suddenly appears**

Unexpected announcement / scheduled event newly identified.

**Action:** shift to WAIT/BLOCK depending on severity

**Log:** Event\_Invalidation: New event risk - {Event}

## 7) "Execute vs Wait vs Block" Decision Matrix (Simple)

### EXECUTE if ALL true:

- Tier 1 = PASS
- $S5 \geq 4$  (or  $S5$  1–3 only with strong  $S2+S4$  confluence)
- $S4$  not in unswept-liquidity wait state
- $S3$  not negative
- Tier 4 = COHERENT
- No major  $S6$  trap signature

### WAIT if ANY of these:

- Tier 1 = WAIT
- $S4$  unswept liquidity
- $S5$  weak (1–3) without strong  $S2+S4$  backup
- Tier 4 = PARTIAL
- Event window approaching (not a hard block but high uncertainty)

## **✗ BLOCK if ANY of these:**

- Tier 1 = BLOCK
- S5 = 0
- S3 < 0
- Tier 4 = INCOHERENT

## **8) Weightage Philosophy (How to treat “importance”)**

Even though you score modules, the real “weight” in decisions is:

- **Highest decision weight:** Tier 1 + S5 + Tier 4
- **Highest confidence amplifier:** S6 (Institutional fingerprint)
- **Highest contextual anchor:** S2 (Monthly/Weekly OB dominance)
- **Highest “entry optimization”:** S3 (precision only)
- **Macro context enhancer:** S7 + peers/ROC/MTAL

**Practical rule:**

**Structure + liquidity completion + participation must tell the same story.**

## 9) Standard Logging (Audit Trail Template)

Every evaluation should output:

### A) Final State

EXECUTE / WAIT / BLOCK

### B) Reason (Top 3 drivers)

Example:

- Driver1: S2 A+ Monthly+Weekly demand
- Driver2: S4 deep sweep + reclaim
- Driver3: S6 ATS↑ Trades↓ DeliveryROC↑

### C) Block/Wait Conditions

If WAIT:

- Condition1: Index must reclaim daily structure
- Condition2: Liquidity below range must be swept



## D) Red Flags

- RedFlag: S6 climax risk
- RedFlag: event tomorrow

## E) Data Confidence Flag

- DataQuality: High / Medium / Low

## 10) Quick "Override" Cheat Sheet (Most used rules)

- Tier1 BLOCK overrides everything → ✗
- S5=0 overrides everything → ✗
- S3<0 overrides everything → ✗
- S4 unswept liquidity overrides "early entry urge" → ⚠ wait
- Tier4 incoherent overrides high scores → ✗
- S6 strong institutional can upgrade *confidence*, not override blocks → ✅ confidence only
- Enhancements (Tier3) never override structure/liquidity gates → supportive only